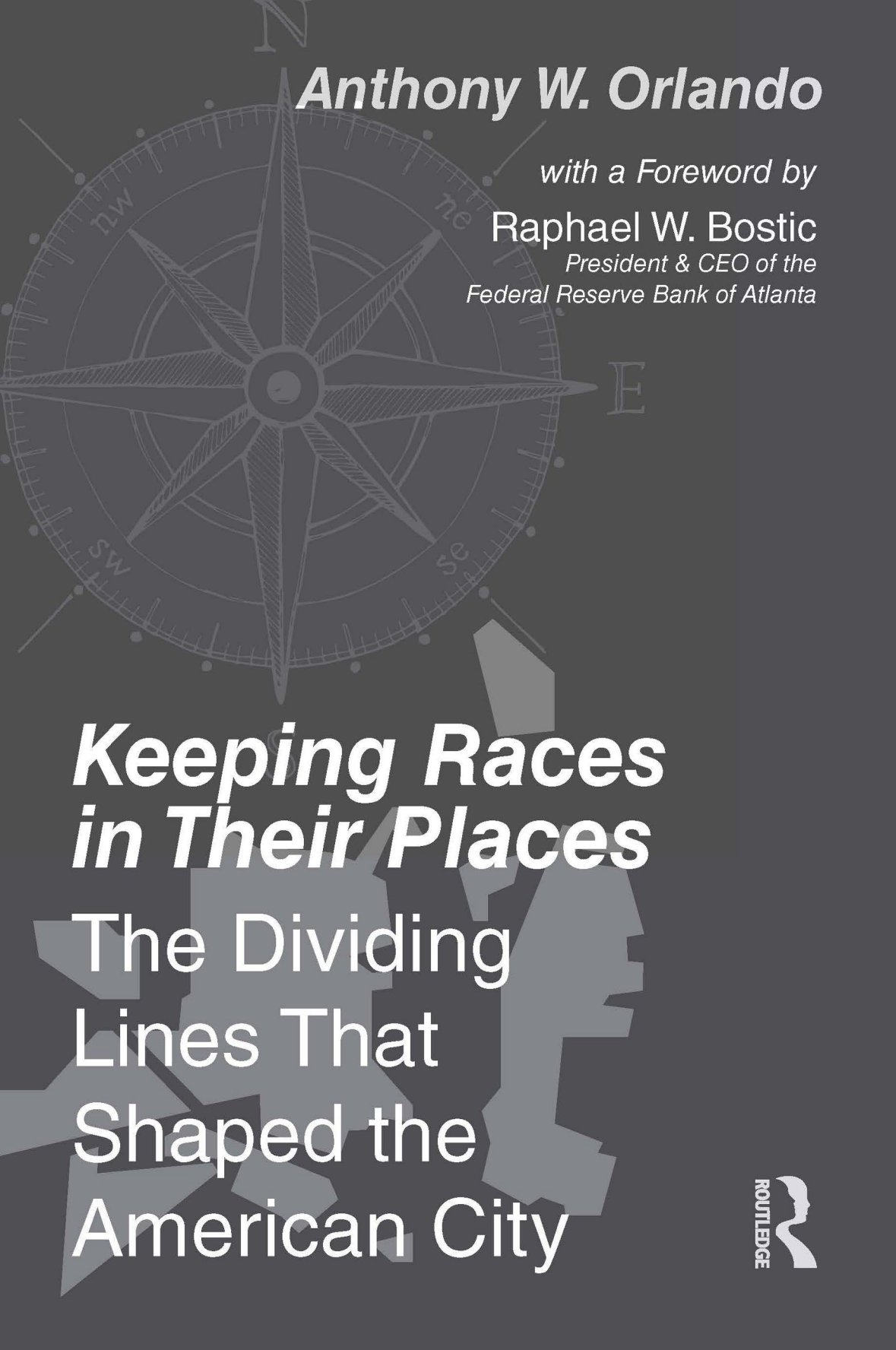




Anthony W. Orlando

with a Foreword by

Raphael W. Bostic

*President & CEO of the
Federal Reserve Bank of Atlanta*

Keeping Races in Their Places

**The Dividing
Lines That
Shaped the
American City**



ADVANCE PRAISE FOR *KEEPING RACES IN THEIR PLACES*

“In *Keeping Races in Their Places*, Anthony Orlando shows himself to be the rarest of writers—both a scholar of a high caliber and a storyteller of singular ability. Here, he uses those talents to offer an economic history that illustrates in gripping fashion how American policies have, from generation to generation, squeezed ordinary Black families and resulted in ongoing disparities of wealth, opportunity and dignity. In this way, he helps us to understand where our systems have failed and how we can and must collectively reinvent them.”

—**Rob Asghar, Author, *Leadership Is Hell* and
Blogging Contributor, *Forbes***

“Anthony Orlando tells the story of redlining—how it was created, how it enforced segregation for more than two generations, and how the impacts have impoverished Black Americans to this day. Decades after redlining was eliminated, the system persists; Black Americans die sooner and accrue less wealth than Whites. The reason is rooted in our nation’s deep history of residential segregation which was designed by the federal government at the height of the 1930s New Deal. Orlando summarizes the best academic research on the topic. Yet he does that with a writing style that has the flair of a mystery novel. You want to turn the page to learn what happens next and to follow the human stories that center the book. While making the story interesting and accessible, Orlando never sacrifices scholarly rigor. What we take for granted in the US—neighborhoods divided by income, race, class, and opportunity—was engineered and enforced by the federal government, and the effects are now self-perpetuating long after residential segregation was outlawed. Anyone interested in putting together a divided country should start by reading this account of how that divide was created, and how it will sustain itself unless we build policies that work to reverse the legacy of a century of housing segregation.”

—**Marlon G. Boarnet, Chair, Urban Planning and Spatial Analysis
Department, University of Southern California**

“The work of Orlando in *Keeping Races in Their Places* lays bare the naked truth that the United States government, state governments, and the mortgage and banking industry have continuously stacked the deck against Black and Brown Americans. By the use of 21st century advanced digital technology, Orlando clearly reveals permanent redlined ghettos

that exist today due to historical overt and covert racism embedded in cultural, governmental, and banking collusion. Most average White Americans have no idea how deep this discrimination goes, but the banking and mortgage industry elite surely do. Of course, people of color always knew!”

—**Todd A. Eachus, Former Majority Leader,
Pennsylvania House of Representatives**

“Anthony Orlando leads us on a riveting journey through the horrific history of racial residential segregation in the United States from its origins in post-Civil War Reconstruction to the national tragedy it became. He lucidly explains how a complex interaction of social transformation, corporate finance, and misguided government policy led to the insidious practice of redlining, which cordoned off Black urban neighborhoods from home loans and led to their isolation and degradation. This book should be required reading for anyone seeking to understand the embedded features of American society that underlie racial inequity.”

—**Robert I. Field, Professor of Law and Professor of Health
Management Policy, Drexel University**

“Spanning 140 years from Reconstruction to today, *Keeping Races in Their Places* encompassing the legacy of race-based injustices ranging from lynching to financial, employment and housing exclusions. Anthony Orlando provides a new and incisive framework for redressing racial inequality by documenting the multi-generational consequences of public policies that redistributed wealth from ‘negro-blighted districts’ to wealthier suburbanites, resulting in White families having seven times as much wealth as Black families. The government demarcated the ghetto through redlining and housing finance policies and ensured that the poor remained isolated in concentrated poverty. This is a call to stop treating our cities as fractured collections of neighborhoods and embark on a new journey of convergence, where all neighborhoods have access to the same opportunities.”

—**Daniel Flaming, President, Economic Roundtable**

“The history and consequences of redlining need to be better understood. Anthony Orlando provides a very compelling and readable account that should become the gold standard on redlining for years to come.”

—**Jeffrey A. Jenkins, USC Bedrosian Center on Governance and the
Public Enterprise and Provost Professor of Public Policy,
Political Science, and Law, University of Southern California**

“The complete story of the history and consequences of racism in housing has been hidden for many years, but now Anthony Orlando has revealed its full extent in great detail and with extraordinary insight. Professor Orlando shows that the American Caste System that is the legacy of redlining and ‘deed restrictions’ has kept home values down along with property tax revenues in a ‘poverty trap’ that assigns mainly Black residents to rundown neighborhoods with the poorest quality schools. Readers finally see how systematic discrimination in housing has worked to suppress the upward mobility of Blacks and keep the United States at the bottom of the list in terms of economic opportunity and socio-economic mobility among the world’s developed nations.”

—**Lawrence C. Marsh, Professor Emeritus,
Notre Dame University and Author, *Optimal Money Flow***

“We need to know our history—how our segregated cities were created and how government policies fueled those patterns and ultimately racial disparities in housing and wealth. This highly-engaging and non-technical book brings that history to life, sprinkled with intuitive insights into how markets, finance and cities work—and don’t work—without the right government policies and regulation. A book perfect for this moment as our nation grapples with systemic sources of racial inequality.”

—**Katherine M. O’Regan, Faculty Director, Furman Center for Real Estate and Urban Policy, New York University and Former Assistant Secretary for Policy Development and Research, US Department of Housing and Urban Development**

“In an era of big data, we are inundated with facts but often need help making sense of them. In his elegant book—*Keeping Races in Their Places*—Anthony Orlando accumulates the best academic research on the long arc of redlining and mortgage discrimination in American housing markets, at once distilling and humanizing it. Orlando makes it clear that today’s housing outcomes have their roots in generations of discriminatory practices. Anyone looking to understand American housing markets or advance housing policy should get to know the very human stories in this book alongside the wealth of scholarship it catalogs.”

—**Christian L. Redfearn, Borstein Family Endowed Professor of Real Estate, University of Southern California**

“The sordid history of redlining helps explain today’s striking racial differences in wealth. This sad and distressing tale is sensitively told in a book that deserves to be read widely.”

—**Morton Shapiro, President, Northwestern University**

“Anthony Orlando heralds an exciting new generation of urban economists who are tackling one of the most important issues in the history of the field: the tragic, lasting legacy of mortgage discrimination. His prose is eloquent, his analysis is thought-provoking, and his compassion is inspiring.”

—**Susan M. Wachter, Albert Sussman Professor of Real Estate, the Wharton School, University of Pennsylvania and Former Assistant Secretary for Policy Development and Research, US Department of Housing and Urban Development**

“If Americans fail to see the legacy of racial bias in the housing market, they will never fully understand the ongoing barriers that are detrimental to the homeownership rates, the economic and educational attainments, and even the physical and mental health of Blacks and Latinos. Anthony Orlando’s passionate and readable narrative could help to inspire a constituency for Martin Luther King, Jr.’s vision of ‘dangerous unselfishness.’”

—**Michael K. Woo, Former Los Angeles City Council Member and City Planning Commissioner**

Keeping Races in Their Places

Spanning the era from the Great Migration to the Great Recession, *Keeping Races in Their Places* uses the latest economic insights to uncover the roots of the Black–White wealth gap, the subprime lending crisis, and today’s lack of affordable housing in maps created by banks nearly a century ago. Most of all, it offers hope that with the latest scholarly tools we can pinpoint how things went wrong—and what we must do to make them right.

Anthony W. Orlando is Assistant Professor in the Finance, Real Estate, and Law Department at California State Polytechnic University, Pomona. He holds the titles of Donor’s Scholar of Analytics in the College of Business Administration, Visiting Scholar at the Federal Reserve Bank of Atlanta, Faculty Affiliate of the Bedrosian Center on Governance and the Public Enterprise at the University of Southern California, and Faculty Affiliate of the USC Political Institutions and Political Economy Collaborative.



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Keeping Races in Their Places

The Dividing Lines That Shaped the
American City

ANTHONY W. ORLANDO

WITH A FOREWORD BY RAPHAEL W. BOSTIC

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For my students



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Foreword

As I read this book, I saw the faces of my ancestors. They were hard-working people. They took calculated risks. They cared for their community. They invested in their neighborhood. They seized the opportunity. They passed wisdom on to their young. They voted, when they could. They prayed.

And they lived in fear.

It was only natural. They'd grown up in an era of open hostility to Black homeowners. They'd seen Black houses bombed and burned and pelted with rocks by White neighbors. They'd watched White residents rioting in the suburbs to keep out Black residents, and they'd watched Black residents rioting in the inner city to bring attention to their exclusion and subjugation. They'd been told—by the federal government, by banks, by city councils, by zoning commissions, and by the judicial system—that it would be harder, if not impossible, for them to get a mortgage they could afford, buy a house they could afford, or move to a neighborhood with better opportunities. Yet somehow they persisted.

I am the fortunate heir to their bravery and persistence, as well as to determined activism across entire generations. But you won't find my story—or the stories of countless others like me—in most economics textbooks.

When I studied for my doctoral degree at Stanford, the word “racism” was nowhere to be found. For sure, there were papers on “discrimination” that tested whether interest rates, loan denial rates, and other factors differed between the races. But by and large, relatively few economists were interested in the topic, and even fewer thought of it as a larger, systemic issue that shaped our cities, our markets, and our lives in profound ways.

That paradigm is changing. A new generation of researchers is using big historical data sets to show how deeply racism is embedded in the evolution of our economy, including and especially up to the present. In this book, Anthony W. Orlando lifts up their voices for us all to hear. They tell a story of unjust barriers erected to stifle mobility, access to opportunity, and progress. Little by little, these barriers are beginning to come down, but they have left lasting damage.

From 1937 to 1968, the U. S. government endorsed these oppressive divisions—as Orlando says, to “keep races in their places”—with the policy of redlining. During the greatest economic boom in American history, Black families were largely shut out of the market for affordable credit. Even as their incomes began to catch up with those of the rest of the population, their homeownership rates did not. They became more educated, entered higher-paying occupations, and saved their money at similar rates as White Americans, and yet they built very little wealth. When it came time for them to pass what they had on to the next generation, relative to their White peers, they were bestowing a disadvantage. Consequently, when their children invested and multiplied this inherited wealth, the initial gaps widened, resulting in the ever-increasing wealth gap we face today.

None of this is news to historians or urban scholars. We owe a debt of gratitude to them—and to economists like William Darity Jr. and Rhonda Williams, who labored for decades to get us to pay closer attention to this dynamic—for uncovering, examining, and reminding us of the institutions that created and maintained these disparities.

In economics, we say that “initial endowments” matter. Runners who have a significant head start are more likely to finish ahead of those who start farther behind. There may be some fast runners who catch up from the back of the pack but, on average, the two groups will remain separated by distance absent some intervention to make the race fair.

This book documents conditions and policies that produced race-based disparities in initial endowments and the interventions our nation has sporadically attempted to use to close the gap. It is a mixed record. Though racial segregation has declined in recent decades, income segregation has increased. Though crime has fallen and property values have risen in inner city neighborhoods, many pockets of concentrated poverty remain. Half a century after redlining was outlawed, its imprints are still visible—in home values, in racial demographics, and especially in the built environment.

We have much work left to do.

The American experience is a learning experience. We have come so far and achieved so much, in part, because we have been willing to experiment, innovate, and improve. When given the opportunity, we have moved

across great distances, taken extraordinary risks, and invested in bold new technologies. Redlining prevented an entire generation of Black Americans from doing those things—and in the process, it deprived us all of the progress they could have made.

These injustices harmed not only the residents of Black neighborhoods. By stifling the opportunities of Black Americans, they inhibited the rise of a generation of Black homeowners who could more fully invest in themselves and thereby make themselves more productive workers in our economy. They robbed the American economy of an emergent pool of eager investors who could provide capital to all kinds of businesses that would help increase aggregate output, resilience, and innovation. They stopped the free flow of capital and people across neighborhoods that, as every economics student knows, is essential to a properly functioning market and one of the most important drivers of economic growth. Workers and capital must be free to move to opportunity—and opportunity must be accessible for everyone to pursue.

This last point speaks to an important, often unspoken, truth. Systemic constraints on the fortunes and contributions of Black Americans have left our economy smaller, less dynamic, and less resilient than it might otherwise be. The resolution of the issues discussed in this book will benefit everyone, not just those who have been historically disadvantaged, by making our economy stronger overall.

We will learn from this experience, as we have learned from so many tragedies of the past, and we will find new ways to extend mobility, opportunity, and access to capital throughout the land. We can begin by banishing the philosophy that undergirded the practice of redlining: the assumption that the past is our destiny, that our communities and our built environment and our people cannot change and grow and climb the socioeconomic ladder. That assumption is wrong, and we must not let it hold us back any longer.

In this book, you will read the story of Richard R. Wright, the Black banker from Georgia. He is a hero to many of us who strive to build an inclusive economy. But my favorite story about Wright comes from his childhood, long before he accomplished anything of note. He was sitting in school, a newly formed school for the children of former slaves. The year was 1868. He was 13 years old. General Oliver Otis Howard, then the head of the Freedmen's Bureau, was addressing the students about the new efforts of Reconstruction. He asked them if they had any message for his friends up North. What should he tell them he saw when he met the children of freedmen? Richard Wright stood up.

"Tell them we are rising," he said.¹

A century and a half later, we are still rising, and we must not let anything—neither prejudice, nor inheritance, nor fear—stand in our way. This is the wisdom I inherited from my ancestors.

Raphael W. Bostic, Ph.D.
President and Chief Executive Officer,
Federal Reserve Bank of Atlanta

Note

1. Henderson, Alexa Benson. (1993). "Richard R. Wright and the National Negro Bankers Association: Early Organizing Efforts among Black Bankers, 1924–1942," *Pennsylvania Magazine of History and Biography* 117(1–2): 51–81.

Acknowledgments

Fifteen years ago, when it seemed that the world of finance was falling apart, I thought it might be a good idea to get business students interested in public policy. I created an organization with my friend Erol Toker, and we asked a graphic design whiz, Jessica Butler, to get the word out. We got a lot of interest, not just from students but also from faculty. One professor, in particular, Susan Wachter, took me under her wing as she helped the country understand *why* the world of finance was falling apart. She was an expert in mortgages and mortgage-backed securities, and she took me on a tour of Wall Street and Washington, D.C., explaining how the market had failed to deliver on the promise of the American dream. She was an inspiration to observe.

A few years later, when I wanted to become a professor in my new city of Los Angeles, she introduced me to Richard Green at the University of Southern California. He convinced me to apply for a PhD, and I found myself in the company of Raphael Bostic and Chris Redfearn. Under their tutelage, I quickly realized that I needed to know more than just finance. To understand real estate, I had to embrace *cities*. I had to become an urban economist.

Ironically, but perhaps not surprisingly, at this very same time, Jessica Butler returned to my life when she moved to Los Angeles for a new job in architecture. She taught me as much about cities as the urban economists had, and we fell in love. In a year of serendipitous fulfillment, I became a professor of finance, real estate, and law, and we married beneath the soaring towers and sun-kissed skies of downtown LA. Probably my favorite part of that ceremony was the love and support voiced by Frank and Sandy

Orlando, Pat Pate, and Jim Butler, whose teachings and encouragement were so essential to my development that I am who I am—and this book is what it is—because I strive to live up to the example they have set for me.

Around that time, I discovered the Mapping Inequality project through Brian An and Seva Rodnyansky, the two PhD classmates who became the pillars of my lifelong research agenda. They gave me their blessing to write this book, if only because they're too busy doing the important work of data collection, cleaning, and coding. It's probably clear by now that everything I write stands on the prodigious shoulders of researchers like them, who labor over the numbers so that I can share them with you.

Chloe Layman discovered our work and saw the potential for it to be a book. I'm not saying I didn't always harbor the dream of crafting a narrative like this one. I just didn't see it in this topic—or believe it was possible—until she came along. Truly, she arrived unexpectedly like one of those great strokes of luck that we all hope will fall in our laps one day. Not a day goes by that I don't remember how fortunate I am for her and for this opportunity.

But as I wrote the book, I needed some local context. Mike and Sarah Czepinski taught me about Pittsburgh, and so did Jim Butler. Jay Eaves and Pia Banerjee taught me about Boston. My dear Jess taught me about Chicago, and of course, it is thanks to her that I gained two siblings: Caldwell Butler taught me about the train lines that you read about in this book, and Kaufman Butler baked me a cherry pie when I finished writing it.

It was a delicious pie.

Introduction

You could take every family in America, give them each an acre of land, and they wouldn't even fill up Texas. We have a lot of space. Yet we choose to live on very little of it. We thrive in dense communities, where we interact with and rely on others. We're more productive that way, when we work together.¹ We're more resilient, when we share our resources.

At the same time, we're fiercely protective of our space. We lock doors, build fences, keep our distance. We don't welcome strangers easily. We get suspicious, we get selfish, and we get hateful. Sometimes, we get violent. Sometimes, we get out.

This is a book about hate and about selfishness—and how they interact with money, with power, and with space. This is the story of redlining.

It is the story of how the U.S. government directed lenders to invest in White neighborhoods and not Black neighborhoods—and why they did it, and why it still matters today.

Our story begins in a lab in Richmond, Virginia. Not the kind of lab you see in movies, with test tubes and white coats and microscopes. This lab has only computers because its work exists almost entirely online. The man in charge doesn't wear a white coat because he isn't a scientist. He has a PhD in American studies, and he writes about the history of slavery. What other labs do with Petri dishes, he does with maps: He infuses them with life.

His name is Richard K. Nelson, and he runs the Digital Scholarship Lab at the University of Richmond.² He is a member of an exciting new generation—of historians and geographers, urban planners and urban economists, sociologists, and epidemiologists—who are wresting our spatial history free from the two-dimensional prison of paper. In their hands,

maps become moving, glowing, talking artifacts through the digital magic of ones and zeroes. The computer doesn't just brighten old colors that faded in the dusty archives. It busts the colors out of the archives and beams them into every home and every university where people crave *Answers. Knowledge. Truth.*

That is how I found the Mapping Inequality project.³ My question, at the time, had nothing to do with inequality *per se*. I wanted to know why our cities look the way they do, why there are pockets of tall buildings and vast stretches of low-lying homes in places that often seem to make no economic sense. That explanation, that quest, is one of the holy grails of urban economics. We'll return to it later.

I thought it might have something to do with the policies our society enforced, many years ago, to keep races in their places.

In 1933, with the country at the nadir of the Great Depression, the federal government launched the most ambitious undertaking in the history of housing finance. In less than two years, it would buy over 1 million mortgage loans, refinance them with more affordable payments for homeowners, and reinvigorate the banking system with bonds carrying a guaranteed return. Overnight, the government became mortgage bankers in 200-plus metropolitan areas across the country. In the process, they developed a formula—a series of questions and guidelines—to screen borrowers, size up neighborhoods, and put a dollar figure on properties in distress. It seems so simple, so obvious, to make the process objective, but at the time, it was revolutionary—a breakthrough in bringing the rigor of “science” to the hazy art of real estate appraisal. They wanted to share this breakthrough with the world.

Thus was born the most widespread form of mortgage discrimination in American history—a force so strong and so persistent that it continued to shape the built environment long after the Depression had become a mere memory, in ways that affected the lives of the cities' residents for nearly a century to come.

In every city, appraisers divided the map into neighborhoods, ranging from “best” to “still desirable” to “definitely declining” to “declined.” This last category was colored in red, an unmistakable warning sign for lenders to avoid. Though it seemed to indicate creditworthiness, it also stood for other “undesirable” features: *Black. Jewish. Catholic. Foreign.* When present in sufficient numbers, these residents rendered a community off-limits to capital—and thus, unworthy of homeownership.

I don't know about you, but I never saw these maps in my history classes. Until recently, they were stuck in the National Archives. Photographs floated around academia, but they made it into few textbooks and even

fewer newspapers. For most Americans, they existed only in the traces they left in the cities themselves, etched into our daily lives like a palimpsest of racism.

Richard Nelson, and a small army of researchers at four universities, scanned these maps and traced every line that the appraisers drew until nearly all of urban America was broken up into polygons, color-coded and clickable from anywhere with Internet access. Each polygon reveals not only the appraisal “grade” but also the appraisers’ detailed explanations: why they favored some neighborhoods over others, what they saw when they looked at those blocks in the late 1930s, and how they expected the housing stock—and, crucially, the people who lived in it—to evolve over time.

That’s not all. By digitizing maps, you don’t just make them readable and accessible. You make them *data*. Along every line, surrounding every neighborhood, are infinitesimal points, separating one house from another, only steps away from each other. To create a digitized map is to create a filter—a lens through which to separate and categorize any information associated with those houses, from the owners to the prices to the building materials. On this side of the line, lives a Black family; on that side, lives a White family. On this side of the line, they pay \$1,000 per month; on that side, \$900. The Digital Scholarship Lab had laid bare one of the great social experiments in American history: Here is a treatment group; there is a control. Let’s see how they fare.

Maybe they were scientists after all.

This book is the story of these lines—who drew them, why they drew them, where they drew them, what effect they had over the decades they were followed, and how they continue to shape our cities, our economies, and our opportunities to this very day. It begins with the Great Migration, when Black families left the South to find better-paying jobs in the North; it follows these families through the generations as segregation evolved, with one exclusionary policy after another, following and reinforcing these neighborhood-level divisions; and it shows how some of these effects dissipated over time but many did not, leaving lasting scars that we can see in the skylines of our cities and the fabric of our society today.

It is not a story that could have been written ten, or even five, years ago, at least not with the empirical precision that the Mapping Inequality project has gifted us since then. But it is a story that cannot wait any longer to be told. As I raced to put words on these pages, the COVID-19 pandemic raced against me. It struck—and killed—most acutely in neighborhoods with high rates of asthma, diabetes, hypertension, and obesity. All of these risk factors were more elevated in “redlined” neighborhoods—the ones that the government instructed lenders to avoid.⁴

This was no accident.

Throughout this book, you will read words like *caste system* and *ghetto*. I have chosen them carefully to indicate that *none* of what happened to these neighborhoods was accidental. From the earliest days after the Civil War, Black Americans were forced to live as second-class citizens in second-class neighborhoods. To call them “ghettos,” as the great Black sociologists have done throughout the postwar era, is not to disparage the residents inside them.⁵ On the contrary, it is to underscore their powerlessness, their lack of say over where the lines were drawn and how society’s resources were allocated as a result. A ghetto is but the physical and spatial manifestation of a hierarchy designed to keep races in their places—which is to say, a caste system. A ghetto is defined not just by what it is but especially by what it is *not*—what it is deprived, what it is isolated from—and so, to truly understand a ghetto, you have to consider the whole city.

You have to see the whole map.

For better or for worse, these maps define us. For most of our history, they have divided us. They have pitted us against each other. They have made us ignorant of each other’s plight. But with the right lens—the right scholarly tools—they can teach us where we went wrong and how we can atone. If we see the maps for what they truly are, they can make us whole.

Notes

1. There is a long literature in urban economics documenting this “agglomeration” effect. See, for example, Rosenthal, Stuart S., and William C. Strange. (2004). “Evidence on the Nature and Sources of Agglomeration Economies,” in *Handbook of Regional and Urban Economics: Volume 4*, edited by J. Vernon Henderson and Jacques-François Thisse. Elsevier, pp. 2119–2171.
2. See <https://dsl.richmond.edu>.
3. See <https://dsl.richmond.edu/panorama/redlining/>.
4. Richardson, Jason, Bruce C. Mitchell, Jad Edlebi, Helen C.S. Meier, and Emily Lynch. (2020). “The Lasting Impact of Historic ‘Redlining’ on Neighborhood Health: Higher Prevalence of COVID-19 Risk Factors,” *National Community Reinvestment Coalition*, available at <https://ncrc.org/holc-health/>.
5. Duneier, Mitchell. (2016). *Ghetto: The Invention of a Place, the History of an Idea*. Farrar, Straus and Giroux.



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The Great Migration

1

Welcome to the Promised Land

They would gather at home, in church, in juke joints and citrus groves and nervous car rides, and they would talk. “Must we remain?” they would say. “Where can we go?”²

That was the question—where and how. Without getting noticed, without getting stopped. It was dangerous. Often, they were missing one or more members. Beaten, perhaps, or killed for no good reason. That only underscored the need to get out—and the challenge of escaping.

They were locked in a caste system, a valuable hierarchy that thrived on cheap labor and sick superiority. It was a bloody business, keeping races in their places, and it created the worst of all human paradoxes: They were both too expendable to be safe and too profitable to be set free.

It could have gone differently after the Civil War. And for a while, it did.

From the moment of their defeat, the Southern states resisted any attempt to break the chains of slavery. Under the approving eye of President Andrew Johnson, they passed the “Black Codes,” a series of laws that proscribed nearly every freedom that emancipation should have conferred: Freedom to peaceably assemble. Freedom to keep and bear arms. Freedom to be tried by an impartial jury. Freedom to vote. At the beginning of each year, Black men were required to sign a contract with a White employer. If they didn’t, they would be forced to work for free—and often, their children would too. Involuntary labor, they called it. Not slavery.³

What, one wonders, had all the fighting been for?

Thus began the experiment known as Reconstruction. For ten extraordinary years, Congress imposed military rule on the conquered rebel states and required them to hold new elections where Black men were allowed to

2 The Great Migration

vote—and then to adopt new constitutions that guaranteed this right for all future elections as well.⁴

Deprived of democracy for so long, Black Americans wasted no time in embracing their civic duties. Throughout the South, they gathered in great numbers to discuss how best to exercise their newly won citizenship. They threw their support behind universal male suffrage, and they celebrated “*en masse*” when it was achieved with the Fifteenth Amendment.⁵ By the early 1880s, some 2,000 Black citizens had ascended to the highest ranks of political office, including the U.S. Senate.⁶

They would not reach such heights again for another 90 years.⁷

Every democratic advance in history, it seems, is met with a violent reprisal. Almost as soon as Congress passed the Reconstruction Acts, the Ku Klux Klan began its “reign of terror,” burning, looting, raping, and murdering anyone who challenged the old caste system.⁸ As the historian Allen Guelzo points out, “it is one of the monumental ironies of Reconstruction that the victors—freed slaves, Northern whites—were more often the *targets* of violence and murder than the vanquished.”⁹

Local officials either couldn’t or wouldn’t impose law and order, and so Congress took up the task with three Enforcement Acts that empowered federal marshals and federal courts to prosecute individuals who violated Blacks’ new constitutional rights.¹⁰

The states bristled at this intrusion into what they considered to be their jurisdictions. General Benjamin F. Butler countered, “If the federal government cannot pass laws to protect the rights, liberty, and lives of citizens of the United States in the states, why were guarantees of those fundamental rights put in the Constitution at all?”¹¹

From 1871 to 1873, the sweep of federal action was remarkable. Under President Ulysses S. Grant, the government prosecuted nearly 2,500 cases of conspiracy to deprive citizens of their constitutional rights. With every KKK arrest, more Klansmen went into hiding, seeking refuge as far away as Canada.¹² But it was not to last.

Any schoolchild paying attention to their U.S. history class will recognize the term “Reconstruction,” but shockingly few know of the so-called “Redemption” that followed.¹³ Once the Feds relinquished control to the locals, the democratic experiment was scrapped. Integrated facilities—schools, hospitals, trains, restaurants—were resegregated or simply closed to Blacks.¹⁴ The acts of citizenship—voting, serving on a jury, open debate—became impossible, suffocated by restrictive qualifications that only Blacks could not meet and slaughtered when necessary by murderous White wrath.¹⁵

This new caste system, more devious and elaborate than the first, grew and hardened over decades, each generation placing new bricks in

its imprisoning walls until Black Southerners had nowhere to flourish. Nowhere to move. Nowhere to hide.

“What confounds me is how much longer the rollback of Reconstruction was than Reconstruction itself; how dogged was the determination of the ‘Redeemed South’ to obliterate any trace of the marvelous gains made by the freedpeople,” says the historian Henry Louis Gates, Jr.¹⁶

Feeding this determination, motivating it and justifying it and fueling it with an incoherent concoction of opportunistic paternalism and genocidal rage, was a most barbaric lie: The lie of White supremacy.

The civil rights lawyer Bryan Stevenson goes so far as to argue that “the great evil of American slavery wasn’t involuntary servitude and forced labor. The true evil of American slavery was the narrative we created to justify it. They made up this ideology of white supremacy.”¹⁷

They even borrowed from the new evolutionary science of the day to “prove” the biological inferiority of Black genes and Black blood and Black brains. It was laughable pseudoscience by today’s standards. Even by the standards of the time, it was clear that they were cherry-picking data and making unsubstantiated leaps of logic.¹⁸ Yet they were so influential that their twisted stereotypes continue in American culture to this day. When racist jokes compare Blacks to monkeys, they are parroting the degenerate propaganda of the nineteenth-century eugenicists who used this same imagery of divergent species to keep races in their places.¹⁹

This animalistic stereotype had two contradictory sides. On the one hand, Blacks were portrayed as simple, stupid, silly. Too dumb to vote, too primitive to care. On the other hand, they were fearsome creatures, shifty and cunning, and hellbent on rape.²⁰

“This stereotype of the omnipresent black rapist is a classic instance of repression and projection,” argues Gates.

We now know, thanks to developments in DNA analysis, that one in three African American males carries a Y-DNA signature inherited from a direct white male ancestor . . . and that the average African American autosomal admixture is about 25 percent European.²¹

The historian Eric Foner concurs: “Even as Klansmen claimed to be motivated by the need to protect white womanhood from black men, sexual assaults against black women became a widespread feature of their violent campaign.”²²

Down through the generations, this perversion persisted in the American psyche. As late as the 1970s, Southern posters warned that integration “will turn your neighborhood schools into a *savage jungle* . . . with a wave of

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crime, extortion, rape, cannibalism,” accompanied by photos of interracial couples locking lips.²³

“The North won the Civil War,” Stevenson concludes, “but the South won the narrative war.”²⁴

And, I would add, the Supreme Court let them. Constitutional rights do not enforce themselves, and there was no shortage of legal challenges to the South’s rampage of violations. The Thirteenth, Fourteenth, and Fifteenth Amendments had codified the abolition of slavery, the equal protection due to citizens, and the right to vote, yet the Supreme Court was reluctant to instruct states to obey them. Curiously, the Court had no qualms striking down state regulations of *corporations* during this time, only of *citizens*.²⁵ It was as if they too had swallowed the great Southern lie.

Justice Henry B. Brown etched the lie into the history books with his opinion for the majority in *Plessy v. Ferguson*, the famous decision wherein the Court put its stamp on segregation so long as the “separate” accommodations were “equal.” (They never were, of course, but we will return to that detail later.) After referring to Whites as the “dominant race,” Justice Brown wrote, “if one race be inferior to the other socially, the Constitution of the United States cannot put them upon the same plane.”²⁶

This is the world where Black Southerners found themselves in 1892, when a tiny winged beetle, with a long snout and a taste for cotton, first crossed the Mexican border into Texas around Brownsville. This “boll weevil” advanced slowly, no more than 160 miles per year, as it paused each spring to sample the local cotton crop. First, it feasted. Then, it laid eggs. They multiplied fast. Some females could produce over 2,000 offspring in a single season. By late harvest, Black sharecroppers might have had very little cotton left to pick.²⁷

It took 30 years for the boll weevil to traverse the entire South, mowing down the farms with such unhurried carnage that it seemed like the little bug actually took pleasure in ruining their livelihood. It got so that the farmers could predict where the plague would strike next, if land values are any indication. Prices would fall years in advance, though you wouldn’t know it from the influx of workers. They always seemed to be caught off-guard, thrown off the farm only *after* the pestilence struck, refugees scrambling to find a new farm that the weevils hadn’t touched—yet, at least.²⁸

Economic distress can bring out the worst in people. They cast about for someone to blame. It helps if they can access a readymade narrative like White supremacy.

It is probably not a coincidence that lynchings increased in the early twentieth century, just as the boll weevil was sucking the jobs out of the Southern economy. White workers felt threatened. Farm owners didn’t have

enough work for everyone, and thanks to discrimination, Black workers were cheaper to employ. In this kind of “split labor market,” the sociologist Edna Bonacich famously argued, the races are pitted against each other. The higher-paid workers will do whatever it takes to keep the lower-paid workers away from the jobs.²⁹ The lower-paid workers will not be allowed to rise above their station. The caste system will defend itself, with as much violence as the higher-paid workers deem necessary. Races must stay in their places.

The only alternative, if possible, is to escape.

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How hard it must have been to take that first step!

The Southern refugees didn’t know what awaited them north of the color line. They didn’t know whether their lives would be better or whether they’d be hopelessly unprepared for the Northern ways. They didn’t know whether they had the skills to get a job in the Northern markets or whether they’d even be allowed to apply. They didn’t know whether they’d be able to afford a place to live or whether there was even enough space for them to stay. They had to abandon everything they knew, everything they’d built to survive, their network of family and friends and pastors and teachers, their entire support system, and leave their fate to chance. When times got tough, as they often did in recessions or race riots or just in the daily course of being Black, they’d have to rough it alone. No shoulders to cry on, no trusted gossip to guide them, no friendly basements to hide in.

They were venturing into a deep, dark ocean where they could easily drown—or worse.

At the train station, they walked up the Colored stairs, separated by a railing from the White stairs, and into the Colored car, second in line behind the locomotive so they’d get hit first—and worst—if the train crashed. They crowded in with the luggage from the White passengers, which only reminded them that they didn’t have luggage of their own. Food service didn’t extend to the Colored car, so they packed fried chicken and boiled eggs in paper bags along with their clothes and quilts and Bibles and kerosene lamps. They inhaled soot and smoke, every hour of every day, until the coal-powered locomotive finally came to its rest in the New World.³⁰

In so many ways, they were at a unique disadvantage. But as strangers bound for a foreign land, they were no different than the generations of migrants who came before them, wandering the Earth on every day of every era in search of a safer home. Most migrants don’t leave home because of money. The risks are too great, the perceived fear too strong, for better jobs alone to attract them. If people simply moved where they could earn the

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most, they'd be flooding into New York and California at this very moment. But they aren't. In an age when traveling is easier and cheaper than it's ever been, most Americans still live within 18 miles of their childhood home.³¹ Throughout the world, it is not the poorest countries—Burundi or Malawi or Haiti—where refugees tend to flee en masse. It is the most dangerous: the war-torn, the crime-ridden, the bombed and the hollowed out and the dispossessed.³² Most migrants don't leave because they want to, because they sense opportunity elsewhere and they have a plan to seize it. They leave because they feel they have to, because the risk of staying is greater than the risk of leaving.

For Blacks in the South, the risk of staying had been swelling like water against a dam since the fall of Reconstruction. The stairs to the train hadn't always been segregated. They *became* segregated, as did the train cars, state by state, city by city, from the 1890s to the 1910s. First, you couldn't sit next to a White person. Then, you couldn't stand in the same car as them.³³ Soon, you wouldn't be able to speak to them, unless they spoke first.³⁴

Some laws were written down, others were simply understood. Black children were raised to obey authority without question, never to offer their hand for a White person to shake or to go through an intersection before a White driver even if they had the right of way.³⁵ When they saw a White person walking toward them, they learned to step off the sidewalk, into the street, until the person passed.³⁶ Any slight, no matter how inconsequential to the White person, could bring ruin upon the entire Black community.

White vengeance ruled with impunity. When a Black man "asked for a receipt after paying his water bill," they ganged up on him and beat him bloody.³⁷ Anytime they *suspected* a Black person of theft, they could kill them. No sum was too small, no offense too petty.³⁸ In 1920, when a Black man tried to vote in Ocoee, Florida, a White mob hanged the man, burned his neighbors alive, and torched the entire Black neighborhood down to cinders.³⁹

If you've never seen a lynching, you might expect it to be a sparse affair, populated by a few bad apples with a mean glint in their eyes. In reality, they were festive gatherings. The entire town might show up at sunset, smiling and laughing with kids on their daddies' shoulders like they were coming to watch the Macy's Day Parade. But for the Black bodies hanging lifeless from the trees, you might mistake it for a summer picnic.⁴⁰

Black sharecroppers knew all of this when they showed up to work every morning. They knew not to question the White planter who owned the farm. They knew he would cheat them out of their fair share come harvest time, that he would take their crops to market—they didn't dare go to market themselves—and subtract the cost of materials and the meager food they ate and the scraps of cloth on their backs and, somehow, they'd never earn a

profit. No matter how much cotton they picked, stooping their backs and sweating their brows and cramping their hands. A “good” boss would “let” the tenant farmers break even. Most would drive them deeper into debt.⁴¹

Anyone who thinks the free market is always free has never labored under these conditions.

Bound by debt, Black tenant farmers were not allowed to leave, except in the off-season when the fields lay dormant. If they could find work in the cities, the men might decamp for months at a time, sending money back for the family to subsist until they returned for the next growing season.⁴² In this way, they first came to learn about the North. What they saw did not look like the Promised Land.

When Black migrants crossed the color line, two things changed.

First, they were thrown into competition with the largest influx of low-skilled workers in American history. From 1850 to 1915, some 30 million European immigrants flooded into the United States, mostly into Northern cities.⁴³ Double-digit unemployment rates were the norm.⁴⁴ And just because they left the South, with all its brutality, didn’t mean they left the split labor market.⁴⁵ “Every hour sees the black man elbowed out of employment by some newly arrived immigrant whose hunger and whose color are thought to give him a better title to the place,” observed Frederick Douglass at the

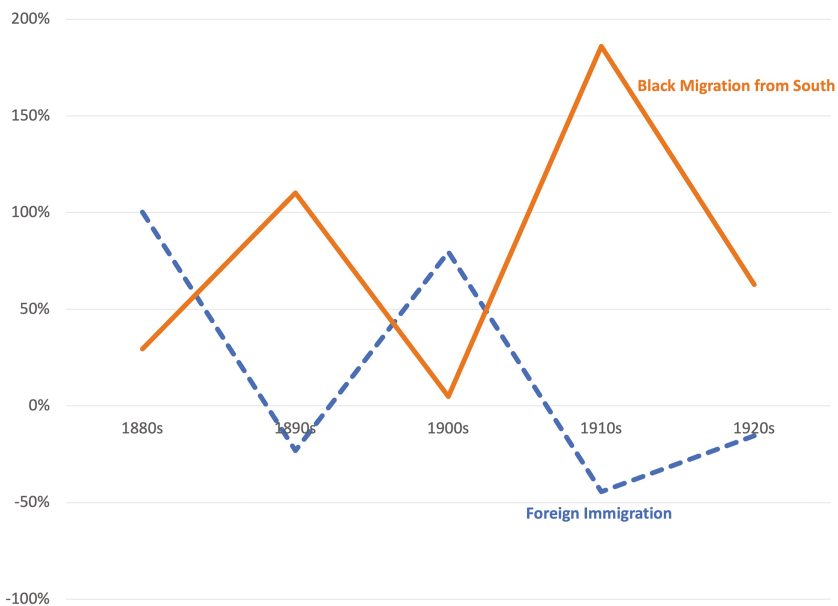


Figure 1.1 Decadal change in net migration to Northern cities, 1880–1930⁴⁷

outset of this Age of Mass Migration. “[S]till Negroes are completely, or almost completely, kept out of manufacturing lines in the North,” wrote the economist Gunnar Myrdal, 30 years after the migration officially ended.⁴⁶

So Blacks stayed, as long as they could, in the South, where they wouldn’t starve for lack of employment. As long as European immigrants were filling the jobs and assimilating into White culture, Black Southerners knew there wasn’t a place for them in Northern society. The economist William J. Collins has compared these two waves of migration and found that every 1,000 foreign entrants kept 84 Black migrants from leaving the South. That might not sound like a lot, but given the size of the foreign influx, it means the Black exodus would have been 50 percent larger—and probably would have begun much earlier—had it not been for the split labor market that gave priority to the new White workers.⁴⁸

When war broke out in Europe, the dam burst. Northern factories surged into overdrive, producing materiel for World War I. The Atlantic Ocean transformed into a maritime minefield, patrolled by submarines and battleships. Few migrants dared to attempt the dangerous crossing.⁴⁹ For the first time in decades, the supply of White workers could not keep up with the demand. The factories sent agents down south to recruit able-bodied workers. They spoke in Black churches and hung out on Black street corners. They handed out railroad tickets when the Southern bosses weren’t looking. If they got caught, they could be fined—and in some places, “sentenced to a year’s hard labor.” They were messing with the caste system, and there was nothing the South took more seriously. City officials stopped the trains, tore up the tickets, “arrested every colored person at the station regardless of where he or she was going.”⁵⁰ But they were no match for the will to be free. Black families planned in secret, packed up quietly, and snuck out under cover of darkness. In the worst cases, they boxed themselves in shipping crates, twisting their bodies into inhumane contortions like they did in the days of the Underground Railroad, and boarded the freight trains, taking very shallow breaths in the hope that they would survive the journey out of Hell.⁵¹

Word spread rapidly. In every poolroom and every boardinghouse, at every kitchen table and every tavern, Southern Blacks read letter after letter from the migrants who went before them. They passed around banned Black newspapers, like the *Chicago Defender*, with editorials extolling the possibilities of Black life in the North. They saw pictures of Black homes that would be unattainable in the South, and they made up their minds to go.⁵²

But as good as the reports might have been, the news of jobs didn’t do the trick all by itself. Economists have run experiments where they tell low-income, rural families about the economic benefits of migration, and it does

very little to trigger an exodus. Even when they experience higher wages for themselves, as Black workers did in the early days of seasonal migration to the North, most of them don't return the following season.⁵³

They left because they felt the cool rush of death at their backs, chasing them all the way to the color line. The sociologists Stewart E. Tolnay and E. M. Beck have shown that Black migration wasn't random across counties. You could predict pretty well where Black residents were going to flee next based on where the latest spate of lynchings occurred—and then, after Black migrants left a particular county, you'd see very few lynchings thereafter.⁵⁴ The split labor market had been purged of the lower-paid workers. The violence was needed no longer.

Statistically, the economist Leah Boustan shows that this relationship—county lynchings leading to out-migration, leading to fewer lynchings—can only explain maybe 10 percent of the totality of the Great Migration, as it came to be called.⁵⁵ But local violence didn't only inspire local exodus. The stories traveled across county lines. They floated on the wind and burrowed into the fears of every Black resident of the South who wondered whether they would be next. They knew the danger existed long before it struck their own house. They were just waiting for somewhere to go. Waiting for the dam to break.

And when it did, when they found themselves on that train car behind the locomotive with the smoke in their face and the past at their back, that is when they discovered the second thing that happened as they crossed the color line. At a very precise point—Cairo, Illinois, after they crossed the Ohio River, or Washington, D.C., or El Paso, Texas, if they were going west—the train cars would change. They might stop the train and reshuffle to integrate the cars. Or the Colored sign might simply go blank. Suddenly, as if it were nothing but a matter of logistics, the Black passengers could get up, move, and sit next to a White passenger.⁵⁶

Few ever did.

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You knew you were in Chicago when you saw the lake. The east side of the train glided along the water's edge, while the west side whizzed past the tallest buildings you'd ever seen. Up ahead, the clock tower of Central Station pierced the sky, as the train slid underneath its carved wooden archways. Inside, the floors were made of mosaic tiles and the walls of Tennessee marble.<sup>57</sup> Outside, you found yourself standing at the short southern edge of Grant Park, stretching 12 city blocks north into the heart of the downtown "Loop," so named in the late nineteenth century when Charles Tyson Yerkes encircled it with elevated electric railway lines. If you'd arrived back



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then, you would have seen the largest urban transit system in the world. Americans rode the rails more than Europeans or anyone else for that matter, but those days were gone by World War I. Americans were buying cars and building roads now. They aspired to live in the suburbs, far from the grit and grind of the factories and the locomotives and the hordes of hungry newcomers.<sup>58</sup> Which brings us back to you.

At Central Station, you were standing on the northernmost tip of the South Side, an elongated strip of neighborhoods 5 miles wide by 15 miles long, where immigrants and outcasts had collected for decades in the shadows of the smokestacks and the crowded tenements that housed everyone who couldn't afford the cost of the daily commute from farther away.<sup>60</sup> This was



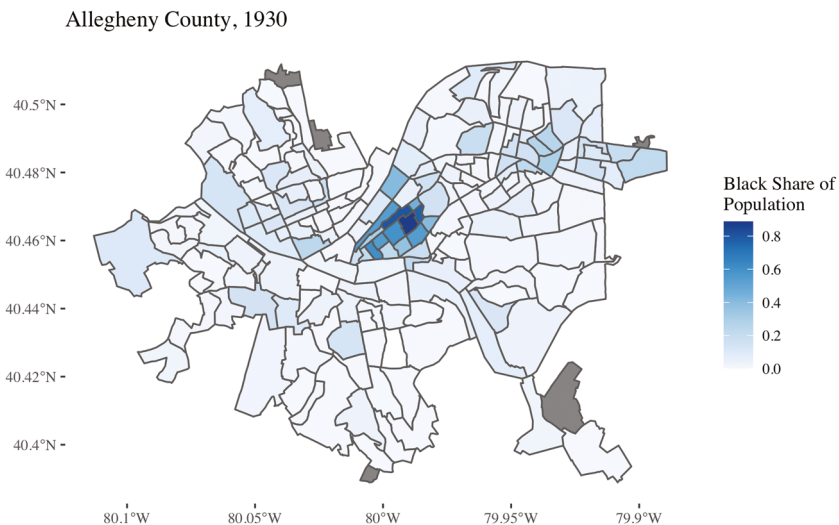
Figure 1.2 Black neighborhoods in Chicago, 1930<sup>59</sup>

your new home. Here, you would find the migrants who came before you, the ones who hopped the Illinois Central Railroad just like you, in Alabama or Louisiana or Mississippi, and you'd form an enclave, an outpost on "the Overground Railroad for slavery's grandchildren," as the journalist Isabel Wilkerson called it, to welcome the ones who would surely come after you.<sup>61</sup>

If you'd come from the east coast—Florida or Georgia or South Carolina—you would've gone where the oceanside railroads took you instead. You might've gotten on the Seaboard Air Line Railroad in Jacksonville or Atlanta and found yourself in New York. Or you might've boarded The Atlantic Coast Line Railroad in Savannah or Charleston and gotten off in Washington, D.C. Maybe you stayed there and built a life in Harlem or what Washingtonians then called "Midcity," now known as the Shaw District. Or maybe you transferred to the Pennsylvania Railroad, heading west to Pittsburgh, or the New York Central Railroad, bound farther north for Boston.

Wherever you'd gone, you would have found the same pattern repeated.

In Pittsburgh, the train would pull into Union Station, with archways made of brick and brown terra cotta. You might have paused in awe at the intricate rotunda, reminiscent of a great classical pantheon, and then you would have stepped into the claustrophobic downtown, wedged between the Allegheny and Monongahela Rivers and surrounded by clattering rail lines. A short walk east would have led you to the Hill District, where Black migrants had been settling since the early nineteenth century, crammed into the narrow slice of industrial Pittsburgh that no one else wanted.



**Figure 1.3** *Black neighborhoods in Pittsburgh, 1930*<sup>62</sup>

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In Boston, your train would stop at South Station, the single busiest railroad terminal in the world, with its facade of stone columns wrapping around a large downtown street corner like a great, big chest stuck out in puffery. From there, you would turn on your heels and march south, a mile at most, to find your fellow migrants in the South End, sandwiched once again between the train lines, just a short walk from the Charles River, where the more desirable real estate was.

The lines that surrounded these neighborhoods were invisible, drawn more by purchasing power than by government fiat.<sup>64</sup> They contained

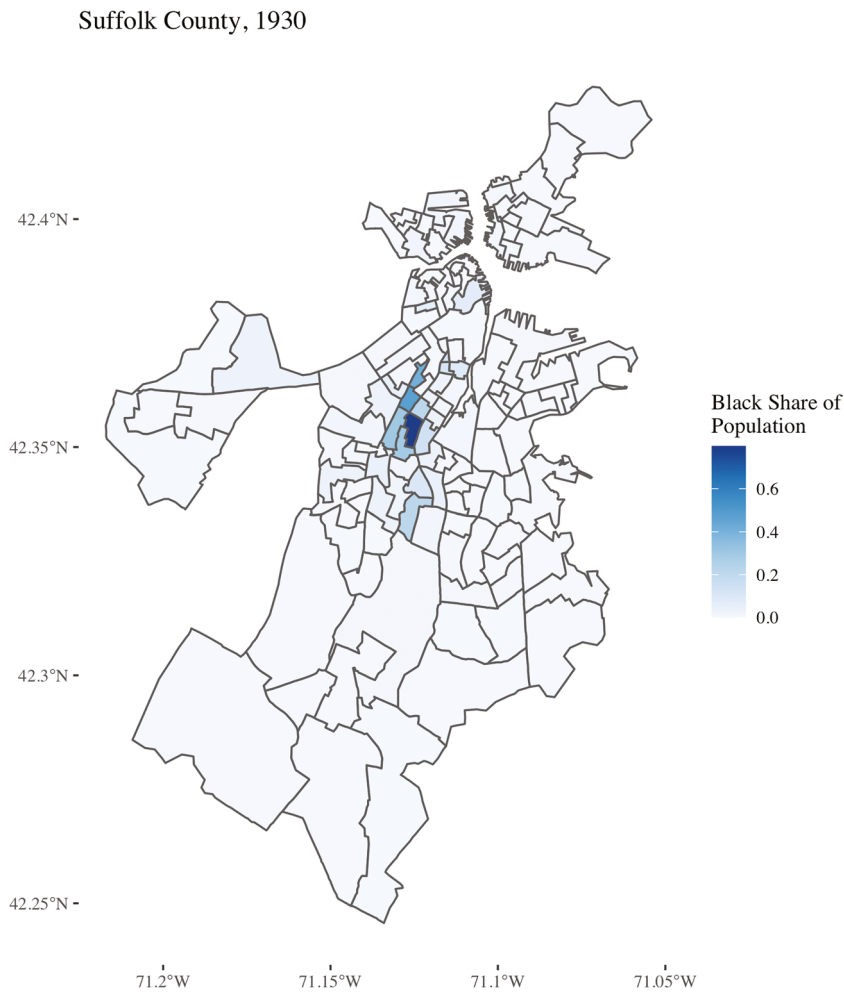


Figure 1.4 Black neighborhoods in Boston, 1930<sup>63</sup>